WHOLESALE DISTRIBUTION AGREEMENT

This Wholesale Distribution Agreement is made and entered into as of the ninth day of December, 2019, by and between Ashland Climate ("Manufacturer") and Hartwell Supply Co. ("Wholesaler").

RECITALS

WHEREAS, Manufacturer wishes to sell its heating, ventilation and air-conditioning products (the "Products") to Wholesaler for resale; and

WHEREAS, Wholesaler wishes to purchase and resell the Products on the terms below;

NOW, THEREFORE, in consideration of the mutual covenants herein, the parties agree as follows:

SECTION 1. APPOINTMENT

1.01 Manufacturer hereby appoints Wholesaler, and Wholesaler hereby accepts appointment, as a non-exclusive authorized distributor of the Products in the States of Ohio, Indiana, Kentucky and Michigan and in western Pennsylvania (the "Territory").

SECTION 2. TERM AND RENEWAL

2.01 The initial term of this Agreement begins on the first day of January, 2020 and ends on the thirty-first day of December, 2020.

2.02 Thereafter this Agreement renews automatically for successive renewal terms of one (1) year each, unless either party gives the other ninety (90) days' written notice of non-renewal.

SECTION 3. WARRANTY

3.01 Manufacturer warrants the Products against defects in materials and workmanship for the periods set forth in Manufacturer's published limited warranty.

3.02 Wholesaler has no authority to extend, and shall not extend, any warranty on Manufacturer's behalf.

SECTION 4. INSURANCE

4.01 Each party shall carry commercial general liability insurance in an amount of not less than Two Million Dollars ($2,000,000) per occurrence, and shall furnish certificates evidencing that coverage upon the other party's request.

SECTION 5. CONFIDENTIALITY

5.01 The terms of this Agreement, including without limitation all pricing and program terms, are confidential. Neither party shall disclose them to any person other than its professional advisers.

SECTION 6. GOVERNING LAW

6.01 This Agreement shall be governed by the laws of the State of Ohio, without giving effect to its conflict-of-laws rules.

SECTION 7. INCENTIVE PLAN

7.01 Wholesaler's 2020 incentive plan is set forth in Rider 1, which is attached to and made a part of this Agreement.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

Ashland Climate
By: _____

Hartwell Supply Co.
By: _____

RIDER 1

2020 Wholesaler Incentive Plan

R.1 **Definitions.** "Program Year" means the period from January 1, 2020 through December 31, 2020. "Eligible Purchases" means Wholesaler's net invoiced purchases of Equipment, namely condensers, furnaces, air handlers, heat pumps and packaged units, less returns and credits, and excluding freight, taxes and parts.

R.2 **Volume Rebate.** *Retroactive application.* When Wholesaler's Eligible Purchases for the Program Year reach a Bracket, the Rebate Rate for the highest Bracket reached applies to all Eligible Purchases in the Program Year, beginning with the first dollar, and not merely to Eligible Purchases above that Bracket's minimum.

Bracket	Minimum annual Eligible Purchases	Rebate Rate
Bracket 1	$24,000,000	1.00%
Bracket 2	$35,000,000	1.75%
Bracket 3	$50,000,000	2.25%

R.3 **Payment.** Manufacturer shall pay rebates by credit memo no later than seventy-five (75) days after the close of the Program Year.

R.4 **Cooperative Advertising.** Wholesaler shall accrue cooperative advertising funds equal to 1.0% of Eligible Purchases. Manufacturer shall reimburse fifty percent (50%) of the cost of approved activities, being dealer training, trade shows, co-branded advertising and displays. Wholesaler must submit each claim, with proof of performance, no later than the thirtieth day of April following the Program Year. Funds not claimed by that date are forfeited.

R.5 **Freight.** Manufacturer shall ship orders of $5,000 or more freight prepaid to any Wholesaler location. Orders below that amount ship freight collect.

R.6 **Expired Programs.** The 2018 Heat Pump Accelerator (Rider 3 to the 2018 agreement) expired on the thirty-first day of December, 2018. It is of no further force and does not apply to the 2020 Program Year.